

Business Data Management (Part - 4)

Type of Accounts

1. What is an Account?

An **account** is a record used to **track and summarize all transactions related to a specific item.**

Easy memory:

**Account = One bucket
for one type of
transaction**

Examples:

- Cash → Cash Account
- Sales → Sales Account
- Rent → Rent Expense Account
- Loan → Loan Account

2. Five Main Types of Accounts

 **Memory Trick: A-L-E-R-E**

Assets → Liabilities → Equity →

Revenue → Expenses

Account	Meaning	Examples
Assets	What business owns/controls	Cash, inventory, equipment, receivables, land
Liabilities	What business owes	Loans, creditors/payables, salaries payable, taxes payable
Equity	Owner's claim/owner	Capital, retained

Account	Meaning	Examples
	ship	earnings, drawings
Revenue	Money generated/earned	Sales, service income, interest income
Expenses	Costs/money incurred to run business	Rent, salary, advertising, electricity

3. Assets

Asset = Something business owns or controls that provides future benefit.

Examples:

- Cash
- Inventory
- Equipment
- Land/building
- Receivables

Remember:

**Asset → Own/Control
→ Future Benefit**

4. Liabilities

Liability = Obligation/debt that business has to pay to outsiders.

Examples:

- Accounts payable/creditors
- Bank loans
- Salaries payable
- Taxes payable

Remember:

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Liability → Owe → Pay later

5. Equity

Equity = Owner's interest in the business.

Includes:

- **Capital** → owner's money invested
- **Retained earnings** → profits kept in business
- **Drawings/withdrawals** → money taken by owner for personal use

Important:

Drawings are NOT an expense.

Example:

Rohan invests ₹50,000 → **Capital increases**

Rohan takes ₹3,000 for personal use → **Drawings increase, Equity decreases**

Remember:

Equity = Owner's money + retained profits – withdrawals

6. Revenue

Revenue = Money generated by business activities.

Three examples from the lecture:

1. Sales Revenue

Money from selling the main product.

Example: Juice sales → ₹12,000

2. Service Income

Money earned by providing services.

Example: Catering juice at an event.

3. Other Income

Income outside the core business.

Example: Interest from FD/investments.

Memory:

Revenue = Money IN from earning activities

7. Expenses

Expense = Cost incurred to operate the business and generate revenue.

Examples:

- Rent
- Salaries
- Advertising
- Electricity
- Water
- Taxes

Memory:

Expense = Money/cost OUT to run the business

8. Revenue vs Expense

Very important:

Profit = Revenue – Expenses

If:

Revenue > Expenses → Profit

Revenue < Expenses → Loss

Example:

Revenue = ₹12,000

Expenses = ₹8,000

Profit = 12,000 – 8,000 = ₹4,000

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9. The "Warehouse & Buckets" Trick

Imagine the entire business is a **large warehouse**.

Inside it are different buckets:

- Cash bucket → Cash Account
- Loan bucket → Loan Account
- Sales bucket → Revenue Account
- Rent bucket → Rent Expense Account
- Inventory bucket → Inventory Account

Every transaction goes into the **appropriate bucket**.

One account = One bucket for related transactions.

10. Connection With Previous Topics

Keep these distinctions clear:

Asset vs Expense

Machine → Asset

Because it provides benefit over a longer/future period.

Rent → Expense

Because the benefit is consumed for the period.

Liability vs Expense

Salary payable → Liability

Because it is still owed.

Salary expense → Expense

Because the salary cost has been incurred.

Equity vs Expense

Owner withdrawal → Equity reduction

Rent/salary/electricity → Expense

Ultimate memory line:

OWN = Asset | OWE = Liability | OWNER = Equity | EARN = Revenue | SPEND = Expense



Double Entry System & Golden Rules

1. Double Entry System

Double entry = Every transaction affects at least TWO accounts.

One account gets **Debit (Dr.)** and another gets **Credit (Cr.)**.

Golden memory:

Every transaction has TWO sides → Debit + Credit

And always:

Total Debit=Total Credit

2. Three Golden Rules of Accounting

Remember: C-R-E

Rule	Golden Rule	Easy Meaning
1. Real Account	Debit what comes in, Credit what goes out	Things
2.	Debit the	People/enti

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Rule	Golden Rule	Easy Meaning
Personal Account	receiver, Credit the giver	ties
3. Nominal Account	Debit expenses/losses, Credit incomes/gains	Profit/Loss

Super-short trick:

Comes IN → Dr.

Goes OUT → Cr.

Receiver → Dr.

Giver → Cr.

Expense/Loss → Dr.

Income/Gain → Cr.

3. Transactions From the Lecture

① Owner invests ₹50,000

Cash comes into business → **Cash Dr.**

Owner gives capital → **Capital Cr.**

Entry:

Cash A/c Dr. ₹50,000

To Capital A/c ₹50,000

Money comes in + Owner gives

② Business takes ₹10,000 loan

Cash comes in → **Cash Dr.**

Bank/SBI gives loan → **Loan Cr.**

Cash A/c Dr. ₹10,000

To Loan A/c ₹10,000

Cash IN, Loan obligation created

③ Equipment bought for ₹15,000 cash

Equipment comes in → **Equipment Dr.**

Cash goes out → **Cash Cr.**

Equipment A/c Dr.

₹15,000

To Cash A/c ₹15,000

 **Asset IN, Cash OUT**

④ Inventory ₹10,000 bought on credit

Inventory comes in → **Inventory Dr.**

Supplier gives goods →

Supplier/Payable Cr.

Inventory A/c Dr.

₹10,000

To Supplier A/c ₹10,000

Goods IN, Payment later

⑤ Cash sales ₹14,500

Cash comes in → **Cash Dr.**

Sales/Revenue → **Sales Cr.**

Cash A/c Dr. ₹14,500

To Sales A/c ₹14,500

Cash IN + Income

⑥ Rent ₹10,000 paid in cash

Rent = Expense → **Rent Dr.**

Cash goes out → **Cash Cr.**

Rent A/c Dr. ₹10,000

To Cash A/c ₹10,000

Expense Dr. + Cash OUT

⑦ Owner withdraws ₹3,000

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Withdrawal/Drawings reduces owner's equity → **Drawings/Equity Dr.**

Cash goes out → **Cash Cr.**

Drawings A/c Dr.

₹3,000

To Cash A/c ₹3,000

⚠ **Drawings ≠ Expense**

4. The Most Useful Shortcut

When you see a transaction, ask these questions:

Step 1 — What are the TWO accounts affected?

Example:

Bought equipment for cash

→ Equipment

→ Cash

Step 2 — Classify them

Equipment → Asset

Cash → Asset

Step 3 — Apply the rule

Asset coming in → **Debit**

Asset going out → **Credit**

Therefore:

Equipment Dr.

Cash Cr.

5. Quick Classification Trick

From your previous lecture:

Type	Think
Asset	Own
Liability	Owe
Equity	Owner
Revenue	Earn

Type	Think
Expense	Spend

Then connect it with the golden rules.



One-line memory:

Asset IN = Dr, Asset

OUT = Cr

Receiver = Dr, Giver =

Cr

Expense/Loss = Dr,

Income/Gain = Cr

6. Accounting Data Flow

This is **very important for you as a data analyst.**

The lecture gives this sequence:

Transaction



Journal Entry



Ledger / Accounts



Trial Balance



Financial Statements

Financial statements include:

- **Profit & Loss Account**
- **Balance Sheet**
- **Cash Flow Statement**



Memory:

J → L → T → F

Journal → Ledger → Trial Balance

→ Financial Statements

7. Journal vs Ledger vs Trial Balance

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Stage	What happens?
Journal	Transaction is first recorded
Ledger/Account	Similar transactions are grouped
Trial Balance	Balances are compiled/checking accuracy
Financial Statements	Final business performance/position is prepared

Example

Business pays ₹10,000 rent.

Journal:

Rent Dr. ₹10,000

Cash Cr. ₹10,000

Ledger:

All rent transactions → Rent Account

All cash transactions → Cash Account

Trial Balance:

Collects balances of all accounts.

Financial Statements:

Rent ultimately affects the **P&L**.



Most important mental model

Whenever you get a transaction, **don't immediately try to memorize the entry.**

Think:

What came in? What went out? Who received? Who gave? Is it an expense/loss or income/gain?

Then the debit and credit become much easier to determine.



Classification of Accounts:

Balance Sheet

1. Fundamental Accounting Equation

The basic equation of the Balance Sheet is:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

Easy memory trick:

$$A = L + E$$

**What the business HAS
= What it OWES + What
belongs to the OWNER**

2. Assets

Assets = resources owned or controlled by the business.

Examples:

- Cash
- Inventory
- Accounts Receivable / Debtors
- Equipment
- Land
- Buildings
- Machinery
- Prepaid expenses

Two major types

Type	Meaning	Examples
Current Assets	Can be converted/used in short term	Cash, receivables, inventory,

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Type	Meaning	Examples
		prepaid expenses
Fixed Assets	Used for a long period, usually > 1 year	Machinery, equipment, land, furniture

Intangible Assets

Assets that **cannot be physically touched** but create value.

Examples:

- Brand
- Goodwill
- Patents
- Trademarks

Memory:

Current = Short-term

Fixed = Long-term

Intangible = Cannot touch

3. Liabilities

Liabilities = amounts/obligations the business owes to outsiders.

Examples:

- Bank loans
- Accounts payable / Creditors
- Outstanding salary
- Outstanding rent
- Outstanding electricity bills

Types

Type	Meaning	Examples
Current Liability	Usually payable within 1 year	Creditors, outstanding expenses, short-term

Type	Meaning	Examples
		loans
Long-term Liability	Payable beyond 1 year	Long-term loans, mortgages

Memory:

Current liability = Pay soon

Long-term liability = Pay later

4. Equity

Equity = owner's/shareholders' claim on the business after liabilities.

Equity = Assets - Liabilities

Includes:

- Owner's capital
- Additional investments
- Retained earnings
- Less: drawings/withdrawals

Retained Earnings

Retained earnings = accumulated profits kept in the business.

Profit may be:

- Distributed as **dividend**
- Kept in the business as **retained earnings**

5. Why is Equity under Liabilities?

This is an important concept.

The **business and owner are treated as separate entities.**

Example:

Rohan invests ₹50,000 in his business.

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From Rohan's perspective:

"I invested ₹50,000."

From the **business's perspective**:

"I received ₹50,000
from Rohan."

Therefore, the business has an
obligation/claim toward the owner.

So:

Assets=Liabilities+Owner's Equity

Memory trick:

Owner ≠ Business

6. Why Total Debit = Total Credit? Because of the **Double-Entry System**.

Every transaction has **at least two
effects**:

Debit=Credit

Therefore, total debits and credits
must always balance.

Example

Rohan invests ₹5,000:

- Cash increases → **Debit
₹5,000**
- Capital increases → **Credit
₹5,000**

So:

₹5,000=₹5,000

7. Trial Balance

The **Trial Balance** checks whether:

Total Debit = Total Credit

It helps check **arithmetic accuracy**
of accounting records.

Memory:

**Trial Balance = Debit vs
Credit check**

8. Effect of Transactions on the Equation

Example 1 — Owner invests ₹5,000 cash

Cash ↑ ₹5,000

Capital ↑ ₹5,000

Assets ↑ = Equity ↑

Example 2 — Buy goods for ₹800 cash

Inventory/Purchases ↑ ₹800

Cash ↓ ₹800

Total assets may remain
unchanged because one asset
increases while another decreases.

Example 3 — Buy equipment for ₹500 cash

Equipment ↑ ₹500

Cash ↓ ₹500

Again:

Asset changes within Assets

Example 4 — Buy equipment on credit

Equipment ↑ ₹500

Payable/Liability ↑ ₹500

Assets ↑ = Liabilities ↑

9. Current Assets — Remember CIRP

A useful memory trick:

CIRP

- C = Cash

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- **I** = Inventory
- **R** = Receivables
- **P** = Prepaid expenses

All are short-term assets.

10. Current Liabilities — Remember COPES

You can remember the major examples as:

C O P E S

- **C** = Creditors
- **O** = Outstanding expenses
- **P** = Payables
- **E** = Expenses payable
- **S** = Short-term loans

11. Prepaid Expense

You **pay now**, but receive/use the benefit later.

Therefore:

Prepaid Expense = Asset

Example:

Pay 6 months' rent in advance.

After using 1 month:

- 1 month → Expense
- Remaining 5 months →
Prepaid Expense/Asset

Memory:

**Paid now + Benefit
later = Asset**

12. Outstanding Expense

You **use/incur the expense now**, but pay later.

Therefore:

Outstanding Expense = Liability

Example:

Salary earned by employee but not yet paid.

Memory:

**Used now + Pay later =
Liability**

13. Fixed Assets

Used by the business for a long period to help generate revenue.

Examples:

- Machinery
- Equipment
- Furniture
- Land
- Buildings

Memory:

Fixed = Stays

Inventory Valuation Methods

1. What is Inventory?

**Inventory = stock of
goods/materials held by a
business for:**

- Selling to customers, or
- Using in production to make
finished goods.

Types of Inventory

1. Raw Materials

→ Basic materials used for production.

Example: **Steel, rubber** in automobile manufacturing.

2. Work in Progress (WIP)

→ Goods that are **partially completed**.

Example: A car in the middle of manufacturing.

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3. Finished Goods

→ Completely manufactured products ready for sale.

Example: Completed car ready to be shipped to a showroom.

Flow:

Raw Materials → Work in

Progress → Finished Goods → Sale

2. Why Inventory Valuation?

Inventory valuation = assigning a monetary value to inventory at the end of an accounting period.

It is important because:

- Inventory appears in the **financial statements**.
- Incorrect valuation can **distort financial statements**.
- It helps calculate **Cost of Goods Sold (COGS)**.
- The valuation method should be applied **consistently**.

A company should not change its inventory valuation method frequently without justification.

3. Cost of Goods Sold (COGS)

COGS tells us the **cost of the goods that were actually sold during the period**.

Basic Formula

If purchase-related transportation cost is applicable:

$$\text{COGS} = \text{Opening Inventory} + \text{Purchases} + \text{Transportation Cost} - \text{Closing Inventory}$$

Concept

Opening Inventory + Purchases = Goods Available for Sale

Then:

Goods Available for Sale – Closing Inventory = COGS

Simple Example

Suppose:

- Opening inventory = ₹500
- Purchases = ₹1,400
- Closing inventory = ₹1,050

Then:

$$\text{COGS} = 500 + 1400 - 1050$$

$$\text{COGS} = ₹850$$

4. Inventory Valuation Methods

The video discusses **three methods**:

1. **FIFO**
2. **LIFO**
3. **Weighted Average**

5. FIFO — First In, First Out Meaning

First goods purchased are assumed to be sold first.

Therefore:

- Oldest inventory → sold first
- Newest inventory → remains as closing inventory

Example

Inventory	Units	Cost/unit
Opening inventory	100	₹5
Purchases	200	₹7

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Inventory	Units	Cost/unit
Total	300	

Sales = **150 units**

Under FIFO:

First sell:

100 units × ₹5 = ₹500

Then:

50 units × ₹7 = ₹350

Therefore:

COGS=500+350=₹850

Remaining inventory:

300–150=150 units

These remaining units are from the latest purchase:

150×₹7=₹1,050

FIFO Result

- **COGS = ₹850**
- **Closing Inventory = ₹1,050**

Practical example

FIFO is particularly logical for **perishable goods** such as fruits and vegetables because older goods are generally sold first.

6. LIFO — Last In, First Out Meaning

Latest goods purchased are assumed to be sold first.

Therefore:

- Newest inventory → sold first
- Older inventory → remains

Using the same example:

- Opening: 100 units × ₹5
- Purchase: 200 units × ₹7
- Sales: 150 units

Under LIFO, the 150 sold units come from the latest purchase:
150×₹7=₹1,050

Remaining:

- 50 units × ₹7 = ₹350
- 100 units × ₹5 = ₹500

Therefore:

Closing Inventory=350+500
₹850

LIFO Result

- **COGS = ₹1,050**
- **Closing Inventory = ₹850**

Practical example from video

A **fashion/garment business** may logically sell newer/trending products first, making the LIFO assumption relevant in the video's example.

7. Weighted Average Method Meaning

Instead of assuming old or new inventory is sold first, we calculate an **average cost per unit**.

Formula

Weighted Average Cost
=
$$\frac{\text{Total cost of the inventory}}{\text{total units}}$$

Using the same example:

Opening inventory:

100×5=₹500

Purchases:

200×7=₹1,400

Total cost:

500+1400=₹1,900

Total units:

100+200=300

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Average cost:

$$1900/300 = ₹6.33$$

Closing inventory = 150 units

$$150 \times 6.33 \approx ₹950$$

Weighted Average Result

- COGS $\approx$ ₹950
- Closing Inventory $\approx$ ₹950

8. Comparison of the Three Methods

Using the video's example:

Method	COGS	Closing Inventory
FIFO	₹850	₹1,050
LIFO	₹1,050	₹850
Weighted Average	₹950	₹950

Easy way to remember

FIFO: Old stock goes out first → new stock remains

LIFO: New stock goes out first → old stock remains

Weighted Average: Treat inventory using an **average cost**

Core Revision

- *Opening Inventory + Purchases = Goods Available for Sale*
- *Goods Available for Sale - Closing Inventory = COGS*

Depreciation Methods

1. What is Depreciation?

Depreciation = reduction in the value of a fixed asset over time due to:

- Wear and tear
- Usage
- Obsolescence

Instead of treating the entire asset cost as an expense in one year, the cost is **spread over the asset's useful life**.

Key points

- It is an **indirect expense**.
- Charged to the **Profit & Loss Account**.
- Reduces the **book value of the asset** on the Balance Sheet.
- It is a **non-cash expense** → no cash is actually paid when depreciation is recorded.

Why charge depreciation?

Because a fixed asset provides benefits to the business over several years. Therefore, its cost should be allocated over its useful life rather than charged entirely in the first year.

2. Two Main Depreciation Methods

Method	How depreciation is calculated	Pattern
Straight Line Method (SLM)	Same amount every year	Constant

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Method	How depreciation is calculated	Pattern
Written Down Value (WDV)	Fixed % of opening book value	Decreasing

3. Straight Line Method (SLM)

Under SLM, the same depreciation amount is charged every year.

Formula

$$\text{Depreciation per year} = \frac{\text{Asset Cost} - \text{Residual Value}}{\text{Useful Life}}$$

Example

Machine:

- Cost = ₹11,000
- Residual/Salvage Value = ₹1,000
- Useful life = 5 years

Depreciation

$$= \frac{11000 - 1000}{5}$$

= Rs 2000 per year

Book value

Year	Opening Value	Depreciation	Closing Value
1	₹11,000	₹2,000	₹9,000
2	₹9,000	₹2,000	₹7,000
3	₹7,000	₹2,000	₹5,000
4	₹5,000	₹2,000	₹3,000
5	₹3,000	₹2,000	₹1,000

So, at the end of 5 years, the asset reaches its residual value of ₹1,000.

Remember: SLM → same ₹ amount every year.

4. Written Down Value (WDV)

Also called the Reducing Balance Method.

Here, depreciation is calculated as a fixed percentage of the opening book value each year.

Formula

$$\text{Depreciation} = \text{Opening Book Value} \times \text{Depreciation Rate}$$

Then:

$$\text{Closing Book Value} = \text{Opening Book Value} - \text{Depreciation}$$

Example

Machine:

- Cost = ₹10,000
- Depreciation rate = 20%

Year	Opening Value	Depreciation @ 20%	Closing Value
1	₹10,000	₹2,000	₹8,000
2	₹8,000	₹1,600	₹6,400
3	₹6,400	₹1,280	₹5,120

Remember: WDV → same % every year, but decreasing ₹ amount.

One-line memory:

- ◆ SLM = Same Amount
- ◆ WDV = Same Percentage

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Financial Statements

1. What are Financial Statements?

Financial statements are formal records that **summarize the financial activities and financial position of a business** for a particular period/date.

Who uses them?

Internal stakeholders

- Management
- Employees
- Board of Directors

External stakeholders

- Shareholders
- Investors
- Lenders
- Government authorities

They use financial statements for **decision-making**.

2. Three Main Financial Statements

Statement	What it tells us	Time
Income Statement / P&L	Profit or Loss	For a period
Balance Sheet	Assets, Liabilities & Equity	At a specific date
Cash Flow Statement	Movement of Cash	For a period

Easy memory

- P&L = Performance
- Balance Sheet = Position

- **Cash Flow = Cash Movement**

3. How Financial Statements are Prepared

The basic flow is:

Transactions



Journal Entries



Ledger Accounts



Trial Balance



Financial Statements

The financial statements include:

- Income Statement / P&L
- Balance Sheet
- Cash Flow Statement

4. Income Statement / Profit & Loss Account

Purpose

Shows the **performance of the business during a period**.

It answers:

"Did the company make a profit or loss?"

Basic formula

Profit/Loss=Revenue–Expenses

If:

Revenue>Expenses → **Profit**

If:

Expenses>Revenue → **Loss**

Time period

Usually:

- 12 months

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- Can also be quarterly/half-yearly, particularly for listed companies.

5. Balance Sheet

Purpose

Shows the **financial position of the business on a specific date.**

It answers:

"What does the company own, and how is it funded?"

Accounting equation

Assets=Liabilities+Equity

Assets

What the company **owns or controls.**

Examples:

- Cash
- Inventory
- Equipment
- Land

Liabilities

What the company **owes** to external parties.

Examples:

- Loans
- Accounts payable

Equity

Owners'/shareholders' claim on the business.

Important Difference

Income Statement:

What happened **during a period?**

Balance Sheet:

What is the position **on a particular date?**

Example

Income Statement

For the year ended 31 March 2026

Balance Sheet

As on 31 March 2026

6. Cash Flow Statement

Purpose

Shows the **movement of cash** into and out of the business.

It answers:

"Where did the cash come from and where did it go?"

This is important because **profit does not necessarily mean the company has sufficient cash.**

Three sections

1. Operating Activities

Cash related to the **core business operations.**

Examples:

- Cash from sales
- Payments to suppliers
- Operating expenses

2. Investing Activities

Cash related to **assets/investments.**

Examples:

- Buying assets
- Selling assets

3. Financing Activities

Cash related to **financing the business.**

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Examples:

- Borrowing money
- Repaying loans

Formula

Net Change in Cash = Operating + Investing + Financing

7. Why Cash Flow is Important

Suppose a company makes a ₹10 lakh sale on credit.

The company records revenue, but it **hasn't received the ₹10 lakh cash yet.**

Therefore:

Profit ≠ Cash

Cash Flow Statement helps an investor understand the **actual movement and liquidity of cash.**

Income Statement, Balance Sheet, and Cash Flow Statement

1. What are Financial Statements?

Financial statements are **formal records that summarize the financial activities and financial position of a business for a particular period/date.**

They are mainly used by:

Internal stakeholders

- Management
- Employees
- Board of directors

External stakeholders

- Shareholders
- Investors

- Lenders

- Government authorities

They use financial statements to make different business and investment decisions.

2. Three Main Financial Statements

There are **3 major financial statements**:

Statement	What it tells us	Time perspective
Income Statement / P&L	Profit or Loss	For a period
Balance Sheet	Financial position	At a particular date
Cash Flow Statement	Movement of cash	For a period

The easiest way to remember:

P&L → Did we make profit?

Balance Sheet → What do we own and who funded it?

Cash Flow → Where did cash come from and where did it go?

3. How Financial Statements Are Prepared

The accounting process roughly follows:

Transactions



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Journal Entries



Ledger Accounts



Trial Balance



Financial Statements

So financial statements don't appear directly from individual transactions. The transactions are progressively summarized.

4. Income Statement / Trading & Profit and Loss Account

The video explains that the **Trading and Profit & Loss Account** has two major parts:

Part 1 — Trading Account

Calculates:

Gross Profit / Gross Loss

Part 2 — Profit & Loss Account

Calculates:

Net Profit / Net Loss

5. Trading Account

The Trading Account deals primarily with the **direct business activity**.

For example, suppose a company manufactures and sells cars.

The production and sale of cars are its main/direct business activities.

Credit side — Direct Income

Examples:

- Sales
- Closing stock

The important idea is:

Direct income comes from the **primary business activity**.

For the automobile company:

Selling cars → Direct income

Debit side — Direct Expenses

These are expenses directly connected with producing the product.

Examples given in the video:

- Opening stock
- Purchases
- Direct wages
- Factory rent
- Freight/transportation related to purchasing goods

Simple way to understand

Ask:

"Is this expense directly involved in producing the goods?"

If yes → **Direct expense**

6. Gross Profit

The Trading Account ultimately determines:

Gross Profit

Gross Profit = Direct Income – Direct Expenses

If direct income > direct expenses:

Gross Profit

If direct expenses > direct income:

Gross Loss

The gross profit/loss is then carried into the **Profit & Loss Account**.

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7. Profit & Loss Account

Now we move beyond the direct production of goods.

The P&L Account contains:

Credit side

Indirect income

Debit side

Indirect expenses

8. Indirect Income

Indirect income is income that **doesn't come from the company's primary business.**

For example, an automobile manufacturer earns:

- Interest income
- Royalty income
- Rental income from surplus buildings
- Income from investments

These aren't the company's main business.

Therefore:

They are indirect income.

9. Indirect Expenses

Indirect expenses are expenses that are **not directly involved in manufacturing the product.**

Examples from the video:

- Office salaries
- Selling expenses
- Stationery
- Telephone bills
- Insurance premiums

For example:

An automobile factory worker directly involved in production →

Direct expense

Office administrative salary →

Indirect expense

10. Net Profit

After considering the indirect income and indirect expenses, we get:

$\text{Net Profit} = \text{Total Income} - \text{Total Expenses}$

More conceptually:

$\text{Net Profit} = \text{Gross Profit} + \text{Indirect Income} - \text{Indirect Expenses}$

If expenses are greater:

Net Loss

11. Where Does Profit Go?

The video says that the **net profit ultimately gets transferred to equity** in the balance sheet.

Why?

Because the profit belongs to the owners of the business.

Therefore, profit increases the owner's equity/capital, typically through **reserves and surplus.**

Think:

Company earns ₹1 lakh profit

↓

Owners' claim on the business increases

↓

Equity increases

Business Data Management (Part - 4)

12. Balance Sheet

The Balance Sheet shows the **financial position of the business on a particular date.**

This is an important difference.

P&L

"How did the company perform **during the year?**"

Balance Sheet

"What is the company's position **on this date?**"

For example:

Balance Sheet as on **31 March 2026**

13. Accounting Equation

The fundamental equation is:

Assets=Liabilities+Equity

This is extremely important.

Assets

What the company **owns/controls.**

Liabilities

What the company **owes to outsiders.**

Equity

The owners' claim in the business.

14. Sources and Application of Funds

The video gives another useful way to understand the Balance Sheet.

Liabilities + Equity

These represent:

Sources of funds

Where did the money come from?

For example:

- Owner's capital

- Reserves & surplus
- Long-term borrowings
- Current liabilities

Assets

These represent:

Application/deployment of funds

Where did the money go?

For example:

- Plant
- Machinery
- Land
- Inventory
- Debtors
- Cash

So:

Sources of funds → Where money came from

Application of funds → Where money was deployed

15. Long-Term vs Current Liabilities

Long-term liabilities

Obligations generally extending beyond one year.

Examples:

- Long-term loans
- Mortgage
- Loan used to construct a manufacturing plant

Current liabilities

Obligations generally payable within one year.

Examples:

- Short-term loans

Business Data Management (Part - 4)

- Creditors/payables
- Outstanding expenses

These are particularly useful for understanding the company's **liquidity position**.

16. Fixed Assets

Fixed assets are assets that remain in the business for a **long period**.

Examples:

- Land
- Plant
- Machinery
- Furniture
- Patents

Notice something interesting from your **previous depreciation video**:

A machine is a fixed asset.

But as the machine is used, its value is reduced through:

Depreciation

So depreciation affects the carrying/book value of the fixed asset.

17. Current Assets

Current assets are assets that can generally be converted into cash/liquidated within a relatively short period, typically around one year.

Examples from the video:

- Inventory/stock
- Debtors/receivables
- Bills receivable
- Marketable securities
- Cash
- Bank balance

18. Cash Flow Statement

The third financial statement is:

Cash Flow Statement

Its purpose is to track:

Actual movement of cash into and out of the business.

This is important because:

Profit $\neq$ Cash

A company can make a sale but not immediately receive cash.

For example:

You sell goods worth ₹1,00,000 on credit.

You have:

Revenue = ₹1,00,000

But:

Cash received = ₹0

at that moment.

Therefore, looking only at profit doesn't tell us the complete cash position.

19. Three Types of Cash Flow

Cash flows are divided into:

1. Operating Activities

2. Investing Activities

3. Financing Activities

Remember:

O $\rightarrow$ I $\rightarrow$ F

20. Operating Activities

Business Data Management (Part - 4)

These are cash flows related to the company's **core operations**.

For the automobile company:

Cash inflows

- Cash received from customers

Cash outflows

- Payments to suppliers
- Salaries
- Wages
- Factory operating expenses
- Gas bills
- Water bills
- Rental expenses related to operations

Simple question:

"Is this part of the company's normal/core business operations?"

If yes → likely **Operating Activity**

21. Investing Activities

Investing activities mainly involve **buying and selling long-term assets/investments**.

Examples

Buying:

- Plant
- Machinery
- Long-term assets

→ **Investing cash outflow**

Selling:

- Plant
- Machinery
- Long-term assets

→ **Investing cash inflow**

Investment in another organization for purposes such as M&A was also given as an example.

Easy trick:

Buying/selling long-term assets → Investing

22. Financing Activities

Financing activities relate to **raising and repaying funds**.

Examples of inflows

- Raising capital
- Borrowing money

Examples of outflows

- Repaying loans
- Paying dividends

So:

Getting money from owners/lenders → Financing inflow
Returning money to lenders/owners → Financing outflow

23. Very Important Classification Table

Transaction	Classification
Cash received from customers	Operating
Payment to suppliers	Operating
Salary payment	Operating
Factory operating expense	Operating
Buy machinery	Investing

Business Data Management (Part - 4)

Transaction	Classification
Sell machinery	Investing
Investment in another organization	Investing
Issue/raise capital	Financing
Take a loan	Financing
Repay loan	Financing
Pay dividend	Financing

24. How the Three Statements Connect

This is probably the **most important part to understand**.
Imagine a company earns profit.

Income Statement

It calculates:

$$\text{Revenue} - \text{Expenses} = \text{Net Profit}$$

↓

The profit contributes to **equity**.

↓

Balance Sheet

The balance sheet shows:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

But the company also needs to know:

"How much actual cash do we have?"

↓

Cash Flow Statement

It tracks cash through:

$$\text{Operating} + \text{Investing} + \text{Financing} = \text{Net Change in Cash}$$

Short Tricks to Remember Everything

1. First remember just 3 words

Statement	Remember
Income Statement	Performance
Balance Sheet	Position
Cash Flow	Movement

Trick:

**P-P-M = Performance
→ Position →
Movement**

Or ask:

- **Did we earn?** → Income Statement
- **What do we own/owe?** → Balance Sheet
- **Where did cash go/come from?** → Cash Flow

2. The most important equation

Memorize:

$$A = L + E$$

Think:

What I have = What I owe + What belongs to owners

Where:

- A = Assets
- L = Liabilities
- E = Equity

Memory trick

$$A = L + E$$

Assets are funded by Loans + Equity.

This one equation will help you solve a huge number of transaction questions.

Business Data Management (Part - 4)

3. Sources vs Application

This is very easy if you imagine a **bucket of money**.

Money comes FROM:

Liabilities+Equity

= **Sources**

Money goes INTO:

Assets

= **Application**

Trick:

L + E = SOURCE

A = USE

So whenever you see:

"Where did the money
come from?"

Think:

Liability or Equity

When you see:

"Where was the money
used?"

Think:

Asset

4. Income Statement — Think "Movie"

The balance sheet is like a **photo**.

The income statement is like a **movie**.

Why?

Income statement shows what
happened **during a period**.

Example:

April 1 → March 31

It records:

Revenue → Expenses →

Profit/Loss

Trick:

Income Statement =

**What happened during
the movie**

5. Balance Sheet — Think "Photo"

Balance sheet is a snapshot.

Example:

Balance Sheet as on 31

March 2026

It tells you the situation **at that
exact date**.

Trick:

Balance Sheet = Photo

So:

Income Statement = Movie

Balance Sheet = Photo

Cash Flow = Cash journey

This is one of the best ways to
remember the difference.

6. Gross Profit vs Net Profit

This is extremely important.

Think of it as **two filters**.

First filter: Direct costs

Sales–Direct Expenses

↓

Gross Profit

Then consider indirect
expenses/income:

Gross Profit+Indirect Income–Indir
ect Expenses

↓

Net Profit

Trick:

Direct → Gross

Indirect → Net

Or:

Business Data Management (Part - 4)

First production →

Gross

Then whole business →

Net

**"Is this the company's
main business?"**

YES → Direct income

Car company:

Selling cars → Direct
income

NO → Indirect income

Car company:

Rent from unused
building → Indirect
income

Interest from
investment → Indirect
income

Trick:

Main business → Direct

Side income → Indirect

7. Direct vs Indirect Expenses

Ask one question:

**"Is it directly involved
in making the
product?"**

YES → Direct

Examples:

- Factory worker wages
- Raw-material-related expenses
- Factory expenses
- Freight related to purchasing goods

NO → Indirect

Examples:

- Office salary
- Telephone
- Stationery
- Insurance
- Selling expenses
- Interest

Trick:

Factory → Direct

Office → Indirect

Not every real-world classification is this simple, but it's a very useful shortcut for the examples in your videos.

8. Direct Income vs Indirect Income

Ask:

9. Cash Flow — Remember OIF

There are three sections.

O-I-F

O = Operating

Daily/core business

Examples:

- Customers
- Suppliers
- Salaries
- Rent
- Utilities

I = Investing

**Long-term
assets/investments**

Examples:

- Buy machinery
- Sell machinery
- Buy long-term investments

F = Financing

Business Data Management (Part - 4)

Money from/to owners and lenders

→ Financing

Examples:

- Issue shares
- Take loan
- Repay loan
- Buy back shares
- Pay dividends

Super-short trick:

O = Business

I = Assets

F = Funding

10. The "Why?" Trick for Cash Flow

Whenever you see a cash transaction, ask:

"Why did cash move?"

If because of:

Business operations

→ Operating

Buying/selling long-term assets

→ Investing

Owners/lenders

→ Financing

For example:

Company buys raw material

Why?

Business operation

→ **Operating**

Company buys machinery

Why?

Long-term asset

→ **Investing**

Company takes bank loan

Why?

Financing

11. Loan — Very Easy Trick

Remember:

Loan itself ≠ Expense

When company receives loan:

Cash ↑

Liability ↑

Cash flow:

→ **Financing inflow**

But when company pays:

Principal

→ Liability decreases

Interest

→ Expense

So remember:

Principal = Liability

Interest = Expense

This is a very useful exam trick.

12. Owner Investment — Think "Owner gives → Equity"

Owner puts ₹2 lakh into business.

Business receives cash:

Cash ↑

Owner's claim increases:

Equity ↑

Therefore:

A ↑ = E ↑

Cash flow:

→ **Financing inflow**

Trick:

Owner gives money →

Equity increases

13. Buying an Asset for Cash

Example:

Business Data Management (Part - 4)

Machinery ₹1 lakh
bought for cash.

Don't think:

"Assets increased by ₹1 lakh."

Instead think:

Cash ↓ ₹1 lakh

Machinery ↑ ₹1 lakh

Both are assets.

Therefore:

Total Assets=Same

Trick:

**Asset for asset = no
total-asset change**

Cash simply changed form:

Cash → Machinery

Cash flow:

→ **Investing outflow**

14. Selling Inventory —

Remember "Cash + Profit"

Example:

Sales = ₹10,000

Cost = ₹4,000

Therefore:

Profit = 10,000 - 4,000 = 6,000

Balance sheet:

Cash +10,000

Inventory -4,000

Net assets:

+6,000

Equity:

+6,000

Cash flow:

+10,000

Important trick:

Cash received ≠ Profit

Here:

Cash = ₹10,000

Profit = ₹6,000

Never confuse these.

15. Credit Sale — The "No Cash Yet" Trick

Suppose:

Company sells ₹50,000
goods on credit.

Revenue:

₹50,000

But cash:

₹0

Instead:

**Debtor/Receivable ↑
₹50,000**

So:

Income Statement: Revenue ↑

Balance Sheet: Receivable ↑

Cash: No immediate increase

Trick:

**Credit sale = Profit can
come now, Cash comes
later**

This is exactly why the cash flow
statement is important.

16. Creditor — Remember "Buy Now, Pay Later"

Suppose company buys goods on
credit.

It gets:

Inventory/raw material

But doesn't pay cash immediately.

Therefore:

Asset ↑

Business Data Management (Part - 4)

Creditor liability ↑

Trick:

**Creditor = Supplier
waiting for money**

When eventually paid:

Cash ↓

Creditor ↓

And because it relates to operating purchases:

→ **Operating cash outflow**

17. Outstanding Expense — "Expense Earlier, Payment Later"

Suppose electricity was used last month but paid this month.

Last month

Expense recorded.

Liability created:

Outstanding expense ↑

This month

Company pays.

Cash ↓

Liability ↓

Important:

There is **no new expense** this month for that already-recorded previous expense.

Trick:

**Outstanding = Expense
already happened,
cash hasn't happened**

This shortcut is extremely useful.

18. Depreciation — Remember "Value Down, Not Cash Out"

Depreciation means:

Asset's accounting
value decreases.

It is an expense.

So:

Income Statement

→ Depreciation expense ↑

Balance Sheet

→ Asset value ↓

But:

Cash Flow

→ No actual cash payment merely because depreciation was recorded.

Trick:

**Depreciation = Expense
without current cash
movement**

This is a very important concept.

19. Inventory — Remember "Beginning → Ending"

For the Trading Account:

Opening Stock → Expense

Closing Stock → Asset

Trick:

**Opening stock is
consumed → Debit
Closing stock remains
→ Asset**

So don't get confused by seeing inventory in both the income statement and balance sheet.

20. Equity — Remember "Owner's Money + Accumulated Profit"

Think of equity as:

Business Data Management (Part - 4)

Owner's claim on the business

It can increase through:

- Owner/shareholder investment
- Profits retained in business

It can decrease through:

- Losses
- Dividends/buybacks, depending on the transaction

Trick:

Equity=Owner's Claim

21. The Golden Transaction Trick

For **every** transaction, use these 4 steps:

Step 1 — Find what came in

Step 2 — Find what went out

Step 3 — Put them into $A = L + E$

Step 4 — Ask whether cash moved and WHY

22. The Ultimate Transaction Cheat Sheet

Transaction	Think
Owner invests money	Equity ↑ + Cash ↑
Take bank loan	Liability ↑ + Cash ↑
Repay loan principal	Liability ↓ + Cash ↓
Pay loan interest	Expense ↑ + Cash ↓
Buy machinery cash	Machinery ↑ + Cash ↓

Transaction	Think
Sell machinery	Cash ↑ + Asset ↓
Buy inventory cash	Inventory ↑ + Cash ↓
Buy inventory credit	Inventory ↑ + Creditor ↑
Pay creditor	Cash ↓ + Creditor ↓
Cash sale	Cash ↑ + Revenue ↑
Credit sale	Receivable ↑ + Revenue ↑
Receive debtor payment	Cash ↑ + Receivable ↓
Pay current expense	Expense ↑ + Cash ↓
Pay old outstanding expense	Cash ↓ + Liability ↓
Depreciation	Expense ↑ + Asset ↓
Receive dividend/investment income	Income ↑ + Cash/Receivable ↑
Pay dividend	Cash ↓ + Equity ↓